

HEARTLAND SPIRITS LLC

1847 Regent Street, Madison, WI 53711 | Federal DSP: DSP-WI-00743

Monthly Operations Report

Reporting Period: February 1 to 28, 2026

1. Production Summary

Batch ID	Product	Status	Notes
HB-2026-014	Flagship Bourbon (70/18/12 mashbill)	Complete	Hearts 9.0 L, filled B-318, Feb 18
HB-2026-015	Rye Whiskey (95/5 mashbill)	Complete	Hearts 7.4 L, filled B-319, Feb 21
HB-2026-016	Seasonal Gin (vapor basket)	Complete	Cuts within spec
HB-2026-017	Corn Vodka (100% corn)	Standby	Raw material staged; next cycle
HB-2026-018	Rice Spirit R&D (koji + K-7 yeast)	Fermenting	Day 18 koji saccharification; glucose on target

Production note (Tyler Briggs, Feb 26): Rye ferment ran an extra day due to slower attenuation on WLP4000 in cold ambient. No quality issues. Cut points within spec. Koji saccharification curve for HB-2026-018 tracking to Dr. Liang's predicted profile.

2. Barrel Inventory

Metric	Value
Active barrels as of Feb 28, 2026	47
New fills in February	2 (B-318 bourbon, B-319 rye)
Year-4 barrels (target bottling)	B-287, B-288, B-289
Estimated inventory value (cost basis)	\$162,000

3. Tasting Room and Sales, February 2026

Item	Value
Tasting room open (Thu-Sun)	Partial first weekend plus 4 full weekends
Door count	842 visitors
Tasting room revenue	\$16,940
Wholesale shipments	3 (Osteria Grazia, Pig in a Fur Coat, Capitol Hill Tavern)
Wholesale revenue (est.)	\$8,200 (Derek Holmgren to confirm final)
February gross revenue (est.)	\$25,140

4. Operating Expenses, February 2026 (Preliminary)

Expense	Amount
Grain (corn, rye, malted barley)	\$3,840
Yeast, enzymes, koji culture	\$460
New barrels, 2 American oak 53-gal	\$720
Utilities (gas, electric)	\$1,100
Payroll (8 employees)	\$22,400
Insurance (monthly installment)	\$620
Miscellaneous supplies	\$340
Total preliminary expenses	\$29,480

5. Notes and Action Items

1. Derek Holmgren quarterly review scheduled for next quarter. Provide updated receivables in advance.
2. TTB federal operations report: February filing submitted Feb 28, 2026 (Tyler filed, confirmation #TTB-2026-02-WI-743).
3. Next barrel selection (B-287/288/289): scheduled early next quarter. Confirm with Tyler.
4. HB-2026-018 rice spirit: pilot distillation target autumn 2026. Notify Dr. Liang when distillate date is confirmed.
5. Wisconsin DATCP annual license renewal fee (\$250) mailed Feb 12, 2026. Confirmation pending.
6. ACSA symposium presentation (Nov 14, 2026): slides draft due to Dr. Liang in October.

Prepared by: Jacob Graves, Owner / Head Distiller

Date: February 28, 2026